

[Policy Statement](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Ordering Guidelines](#)

[B. Receiving Guidelines](#)

[Definitions](#)

POLICY NUMBER: **FP-OPSFIN-140**

Accounts Payable Ordering and Receiving

This policy provides guidelines for ordering and receiving goods and services.

POLICY STATEMENT

A purchase order is a commercial document and first official offer issued by a buyer to a seller indicating types, quantities, and agreed prices for products or services. It is used to control the purchasing of products and services from external suppliers.

Receiving refers to the administrative functions that include checking the quantity, quality, and condition of any incoming goods followed by their proper storage.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. ORDERING GUIDELINES

- 1) Purchase orders (POs) are required in advance of all commitments for all materials and services with the exception of:
 - a) Purchases authorized through petty cash (refer to FP-OPSFIN-114 Petty Cash)
 - b) Emergency purchases, which will require a confirming purchase order
 - c) **US & PR and UK Only** – Additional PO exclusions may apply as defined in Kofax’s approved exclusion list.
- 2) Purchase orders are required for capex purchases; however, these purchases must be approved based on the guidance in FP-OPSFIN-146 Hotel Operations Contract Execution and Spending Policy.
- 3) For services provided under written agreement, a signed contract or blanket purchase order must be completed and approved in advance of commitments related to the agreement based on the guidance in FP-OPSFIN-146 Hotel Operations Contract Execution and Spending Policy for further guidance.
- 4) The following matrix demonstrates the minimum required approvals for purchase orders:

	Food & Beverage (F&B)	All Other Types
Up to \$1,000 USD	No approval required	Operations Leader & Finance Leader (or designees)
Up to \$10,000 USD	F&B Management	Operations Leader & Finance Leader (or designees)
Up to \$50,000 USD	F&B Management & Finance Leader	Operations Leader & Finance Leader
Over \$50,000 USD	Refer to FP-OPSFIN-146 Hotel Contract Execution and Spending	

Please refer to the Hotel Contract Execution & Spend Approval Matrix in FP-OPSFIN-146 for authority levels required prior to entering into any expenditures and/or contracts.

- 4) Food purchases are to adhere to the following procedures:
 - a. For fresh items purchased on a daily basis a market list/order is to be completed by the kitchen and used as the basis for completing the order.
 - b. Dry food is required to be ordered based on a par stock system adjusted for banquet requirements.
- 5) Purchase order formats may vary based on local requirements and systems used. At a minimum all purchase orders must contain the following:
 - a. A sequential pre-printed number
 - b. Supplier name
 - c. Quantity and description of items
 - d. Amount
 - e. Address the invoice is to be sent to
 - f. Delivery address
 - g. Hotel legal trading entity
 - h. Required delivery date
 - i. General Ledger coding
 - j. Hotel's supplier account number
 - k. Terms & Conditions
- 6) Each Hotel is required to produce and maintain an up-to-date list of which Team Members (name and title) are authorized to approve a purchase order. A copy of the list is to be maintained by the Hotel and may be maintained in the procurement system, if applicable.
- 7) For purchases from a vendor not approved via corporate program (i.e., a local supplier or supplier without a national contract), three competitive quotes/bids must be obtained and be included for reference prior to approval for each purchase above \$5,000 USD.
- 8) Orders are to be made either by fax, e-mail, or electronic transfer (when a procurement system is in place). They are not permitted to be made by telephone, except in the case of an emergency, when they are required to be followed up with a confirming purchase order. Confirming POs must be entered into the system of record immediately.
- 9) All purchase orders must be sent to the supplier and the Hotel must inform the supplier that the purchase order number must be used as the reference number on the invoice.

B. RECEIVING GUIDELINES

- 1) All goods must be received in a designated receiving area and where possible this should be a restricted area that can only be accessed by authorized Team Members. This area must not be directly accessible to guests.
- 2) An internal procedure must be written for after hour deliveries.
- 3) Under no circumstances can the Team Member who placed the order (i.e. sends the order to the supplier) also physically receive the order nor can they receive the order in the procurement system.
- 4) When receiving goods at the Hotel, at a minimum the following must be checked:
 - a) Quality (in the case of fresh food this must be done by a member of the kitchen team or a designated member of the receiving team)
 - b) Item, quantity, and weight (where applicable) – This must be checked to the delivery note / packing slip and approved purchase order
- 5) The purchase order must be on hand, verified against the items received, and updated. The delivery note / packing slip must be matched to the PO prior to finalizing the receipt of items either by updating the procurement system or attaching to the paper PO. All complete documentation must be sent to the Finance Team on a daily basis.
- 6) When no delivery note, packing slip, or invoice is provided by the supplier at the time of delivery, the Team Member receiving the items must generate a “Goods Received Note” which is a standard form that must include the following:
 - a) A sequential pre-printed number
 - b) Date of Receipt
 - c) Supplier
 - d) Quantity
 - e) Description of item(s) received
- 7) Quantities received below the purchase order (i.e., back ordered items, etc.) can be accepted. The shorted amount must be clearly indicated on the receiving documentation prior to signature by the representative of the supplier delivering the order. In addition, the receiving Team Member must clearly record the shorted amount on the purchase order. No payment will be made on back ordered quantities until received.
- 8) Generally, quantities delivered in excess of the purchase order (or substitute items) are not to be accepted. The Hotel may put in place, within their internal policies, a tolerance threshold on what can be received over and above the purchase order. This must be a written policy and clearly communicated to all Team Members involved.
- 9) No goods are to be accepted unless there is an approved purchase order. In emergency situations, a confirming purchase order approved subsequently is acceptable.
- 10) Once the delivery has been checked and is correct or any shortages noted, then the delivery note, packing slip, or invoice must be signed and dated by the Team Member receiving and by the supplier’s representative delivering the goods.
- 11) The items must then be immediately placed in the storeroom / storage area or delivered directly to the relevant department. If a perpetual stock system is in place, receipt of the items must be recorded before the end of the day in which they were delivered.

12) Any returns made to suppliers are required to be recorded either in the procurement system or on a returns log. A receipt or credit memo must also be obtained from the supplier confirming the quantity of the returns that they have accepted.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Confirming Purchase Order	Confirming purchase orders are only to be used in emergency situations when the requisite approvers are not available to properly approve the purchase order (e.g., pipe bursts on the weekends and a plumber needs to be contracted, unexpected after-hours equipment failure, etc.) The confirming purchase order must be clearly marked “Confirmation Only” and approved immediately once the requisite approvers are available.
Blanket Purchase Order	A blanket purchase order is where a customer places an order with its supplier to allow multiple delivery dates over a period of time, often negotiated to take advantage of predetermined pricing.